

# **When Ignoring Generative AI Becomes Risky: A Risk-Based Model of Managerial Responses to AI Commands**

## **Abstract**

Generative artificial intelligence (GenAI) is increasingly used to support managerial decision-making. Yet, little is known about how decision-makers perceive the risk of ignoring its commands once GenAI tools are in use. This study introduces Perceived Risk of Inaction (PRI), the anticipated negative consequences of disregarding justified GenAI commands, and develops a risk-based decision model explaining managerial responses to GenAI commands under varying task and system conditions. Drawing on Rational Choice and Task-Technology Fit Theories, this study explores how GenAI Command Justifiability (GAICJ) shapes PRI and how this relationship is conditioned by GenAI tool quality, data quality, task complexity, and user competency with GenAI tools. The research model was then tested using a controlled experimental methodology with a post-decision questionnaire from 276 senior managers, analyzed using moderated multiple regression. The results show that GAICJ is positively associated with PRI, indicating that well-justified GenAI commands increase decision-makers' perceived cost of inaction. This relationship is strengthened when GenAI tool quality and user competency are high, weakened under high task complexity, and only marginally influenced by perceived data quality. These findings extend AI adoption and human–AI decision-making literature by shifting attention from compliance and use toward the risk of inaction and by clarifying the contextual conditions under which justified GenAI commands become decision-relevant. The study offers implications for the design and governance of GenAI systems that support risk-aware managerial decisions.

**Keywords:** GenAI Command Justifiability; Perceived Risk of Inaction; GenAI Tool Quality; Data Quality; Task Complexity; User Competency with the GenAI Tool

## 1. Introduction

Generative artificial intelligence (GenAI) has evolved from a passive decision-support tool into an active command-issuing agent across domains such as IT, healthcare, finance, and logistics (Amankwah-Amoah et al., 2024). Unlike earlier systems that primarily offered analytical insights, contemporary GenAI tools increasingly generate actionable commands framed as what decision-makers should do. As these tools become embedded in organizational workflows and governance structures, their use is increasingly infrastructural rather than discretionary, making opt-out strategies unrealistic in many organizations (Papagiannidis et al., 2025). This shift fundamentally alters managerial decision-making: managers no longer decide whether to use AI, but whether to act on, override, or ignore AI-generated commands (Gupta et al., 2024). Each of these choices carries consequences. Acting on a GenAI command risks error or misalignment with contextual knowledge, while ignoring it may expose decision-makers to operational failures, missed opportunities, or accountability pressures, particularly when the command appears reasonable and defensible (Zhang et al., 2022). Despite growing research on AI adoption, trust, and explainability, *little is known about how managers evaluate the risk of not acting on GenAI commands once such systems are already in use.*

Prior research on algorithmic decision-making has primarily focused on why users adopt AI tools, trust their outputs, or comply with algorithmic advice (Cheng et al., 2025; Duan et al., 2019; Mikalef and Gupta, 2021; Stødle et al., 2025; Tanriverdi and Akinyemi, 2025). While this work has generated valuable insights into transparency, interpretability, and reliance, it implicitly treats inaction as a neutral or passive state. In practice, inaction is often an active managerial choice, particularly when AI systems are positioned as authoritative sources of guidance. Ignoring a GenAI command may therefore require justification to peers, superiors, or oversight bodies,

making inaction itself a potentially risky decision. Reflecting this concern, the NIST AI Risk Management Framework explicitly emphasizes that AI risk assessment should account not only for the dangers of deploying AI systems but also for the risks associated with *not acting* on AI-generated commands (“AI Risk Management Framework,” 2021). This recognition reflects a growing practical concern: as AI becomes more capable and pervasive, ignoring its outputs may carry ethical, financial, regulatory, or reputational consequences. *However, while practice has begun to acknowledge the risk of inaction, information systems research has not systematically examined how decision-makers perceive and evaluate this risk of inaction.*

To address this gap, this study introduces Perceived Risk of Inaction (PRI), defined as a decision-maker’s anticipated negative consequences of disregarding a GenAI command that is perceived as justified. PRI captures a forward-looking evaluation of loss associated with inaction and is conceptually distinct from trust, perceived usefulness, or intention to use. Whereas prior research emphasizes the benefits of acting on AI commands/recommendations, PRI shifts attention to the costs of not acting, reframing inaction as a consequential decision rather than a default state (Zhang et al., 2022).

A central factor shaping PRI is GenAI Command Justifiability (GAICJ), the extent to which a GenAI command is perceived as rational, evidence-based, and defensible as a basis for action. Justifiability is conceptually distinct from transparency or explainability: a command may be understandable without being defensible, and explainable without being actionable. In organizational settings, what often matters is whether a decision can be reasonably justified in light of available information and anticipated outcomes (Eslami and Hassanein, 2022; Fernández-Loría et al., 2022). When a GenAI command meets this threshold, ignoring it may no longer feel safe or neutral, thereby elevating PRI (Trader et al., 2024).

Understanding how justifiability translates into perceived risk of inaction requires attention to both cognitive evaluation and contextual conditions. Accordingly, this study draws on Rational Choice Theory (RCT) (Hechter and Kanazawa, 1997) and Task–Technology Fit Theory (TTFT) (Goodhue and Thompson, 1995). RCT explains how decision-makers evaluate expected costs and benefits under uncertainty, providing a cognitive foundation for understanding why ignoring a justified GenAI command may be perceived as risky (Zhang et al., 2017). providing a foundation for understanding why ignoring a justified GenAI command may be perceived as risky. In this framework, user competency with GenAI tools reflects evaluative capacity, shaping how accurately decision-makers assess the anticipated consequences of inaction. In this framework, user competency with GenAI tools reflects evaluative capacity, shaping how accurately decision-makers assess the expected consequences of inaction. TTFT complements this perspective by explaining how alignment between task demands (e.g., task complexity)(Liu et al., 2017) and technological characteristics (e.g., GenAI tool quality and data quality) (Aljukhadar et al., 2014) conditions the extent to which justifiability translates into perceived risk.

Building on this theoretical foundation, this study proposes and tests a risk-based decision model examining whether higher GAICJ increases PRI and how this relationship is moderated by GenAI tool quality, data quality, task complexity, and user competency with GenAI tools. The model is evaluated using a controlled experimental decision task in which senior managers confront a realistic GenAI command embedded in a strategic resource-allocation scenario, followed by post-decision measurement of PRI and contextual factors. Specifically, the study addresses the following research questions:

**RQ1:** How does the justifiability of a GenAI command influence decision-makers’ perceived risk of inaction?

**RQ2:** How do task and system conditions, specifically GenAI tool quality, data quality, task complexity, and user competency with the GenAI tool, moderate the relationship between command justifiability and perceived risk of inaction?

Exploring the above research question, this study makes four contributions to the information systems literature. First, it introduces PRI as a theoretically grounded construct capturing a neglected dimension of AI-supported decision-making. Second, it develops and empirically tests a risk-based decision model integrating RCT and TTFT. Third, it demonstrates that the risk of inaction is situationally constructed in concrete decision contexts. And forth, it advances understanding of how GenAI reshapes managerial discretion, accountability, and governance beyond adoption and compliance.

## **2. Literature Review**

### *2.1. GenAI commands and Perceived Risk of Inaction (PRI)*

GenAI tools increasingly issue actionable commands based on large-scale data processing and adaptive modeling, and have become embedded in organizational decision-making across domains such as healthcare, finance, logistics, and cybersecurity (Ferdush et al., 2024; Kshetri et al., 2024; Yu et al., 2022). As GenAI systems move from peripheral decision support to integrated decision infrastructure, managers are routinely confronted not only with whether to follow AI-generated commands, but also with whether ignoring such commands is itself a consequential choice.

Behavioral decision research suggests that individuals weigh potential losses more heavily than equivalent gains, a phenomenon known as loss aversion (Kahneman and Tversky, 2000). In high-stakes organizational contexts, this implies that the potential consequences of *not acting* may loom larger than the benefits of action. Applied to AI-supported decision-making, this logic suggests that managers may perceive substantial risk in disregarding GenAI commands, particularly when

those commands appear accurate, reasonable, and actionable (Duan et al., 2019). This study conceptualizes this evaluation as Perceived Risk of Inaction (PRI), the anticipated negative consequences a decision-maker associates with disregarding a GenAI command that is perceived as justified (Hildebrandt, 2022).

PRI is conceptually distinct from constructs that focus on the benefits of action or technology use. For example, Perceived Benefits of Action (PBA) captures expected gains from acting on AI commands (Agarwal et al., 2010), whereas PRI reflects anticipated losses from not acting. These losses may include missed opportunities, operational failures, regulatory or security incidents, and reputational harm (Taira et al., 2023). Importantly, PRI treats inaction as an active evaluative decision rather than a neutral default, aligning more closely with managerial realities in AI-embedded environments.

Existing research on human–AI decision-making has primarily examined whether users adopt, trust, or comply with AI-generated recommendations/commands, emphasizing constructs such as transparency, interpretability, perceived usefulness, and reliance (Ma et al., 2025; Riemer and Peter, 2024). While this body of work provides valuable insight into AI use, it offers a limited explanation of how decision-makers evaluate the consequences of ignoring AI-generated commands once such systems are already in use. In particular, prior studies rarely address how risk perceptions associated with inaction emerge, or how the justifiability of AI commands shapes those perceptions. Table 1 summarizes representative literature streams and highlights how the present study extends existing research by centering on PRI.

**Table 1. Summary of Related Literature and Identified Gaps**

| Stream of Literature     | Representative Studies                                         | Main Focus                                                      | Limitation / Gap Addressed by This Study                                                             |
|--------------------------|----------------------------------------------------------------|-----------------------------------------------------------------|------------------------------------------------------------------------------------------------------|
| Trust and Reliance on AI | (Klingbeil et al., 2024; Küper, 2023; Scharowski et al., 2023) | Explains how transparency and explanations affect user reliance | Focus on adoption and compliance, ignoring the perceived <i>risk</i> of ignoring justified AI advice |

|                                              |                                                      |                                                                       |                                                                                 |
|----------------------------------------------|------------------------------------------------------|-----------------------------------------------------------------------|---------------------------------------------------------------------------------|
| AI Justifiability and Human–AI Collaboration | (Cunningham et al., 2025; Freitas, 2025)             | Highlights the role of justification in AI-supported decision quality | Does not connect justification to <i>risk perception</i> or inaction evaluation |
| Task–Technology Fit and Decision Support     | Przegalinska et al., 2025; Vafaei-Zadeh et al., 2025 | Explains system usage and performance outcomes                        | TTFT rarely extended to <i>perceptual</i> outcomes such as PRI                  |
| Rational Evaluation and Risk Assessment      | (Luo and Zhang, 2025; Stødle et al., 2025)           | Models cost–benefit reasoning in uncertain contexts                   | Does not incorporate contextual moderators shaping perceived AI risk            |

A key construct underlying PRI is GenAI Command Justifiability (GAICJ), defined as the extent to which decision-makers perceive a GenAI command as rational, evidence-based, and defensible as a basis for action. Although GAICJ overlaps with related concepts such as transparency, interpretability, and credibility, it is conceptually distinct in its emphasis on decision defensibility rather than system understanding or trust. Whereas transparency and interpretability address whether users can understand how an AI system works, justifiability addresses whether a specific command can be reasonably explained and defended, considering anticipated outcomes. Table 2 clarifies these distinctions and motivates the focus on justifiability as a decision-oriented perception.

**Table 2. Conceptual Distinctions Among Overlapping Constructs**

| Construct        | Focus                                 | Key Question                            | Outcome       |
|------------------|---------------------------------------|-----------------------------------------|---------------|
| Transparency     | Visibility of AI processes            | Can I see how it works?                 | Understanding |
| Interpretability | Comprehension of AI logic             | Can I make sense of the output?         | Usability     |
| Credibility      | Trust in AI reliability               | Can I rely on the system?               | Acceptance    |
| Justifiability   | Rational defensibility of AI commands | Is this command reasonable to act upon? | Actionability |

Prior studies show that explanations and data quality can influence how AI outputs are perceived (Hassija et al., 2024). However, most of this work examines how such factors increase trust or willingness to act on AI recommendations. Far less attention has been paid to how the justifiability of a command influences the perceived cost of inaction. When GenAI commands are weakly justified, decision-makers may discount them and treat inaction as relatively safe (Liao et al., 2020). Conversely, when commands are well justified, ignoring them may draw attention to

potential losses, thereby elevating PRI. This shift, from evaluating whether to use AI to evaluating whether ignoring AI is risky, forms the theoretical foundation of the present study.

## *2.2. Task Technology Fit Theory (TTFT)*

Task–Technology Fit Theory (TTFT) posits that a technology’s effectiveness depends on the degree to which its capabilities align with the requirements of the task it supports (Goodhue and Thompson, 1995; Gupta et al., 2024; Sturm and Peters, 2020). Traditionally, TTFT has been applied to explain technology use, adoption, and performance outcomes (Dharanikota and Marakas, 2021; Przegalinska et al., 2025). More recent research, however, suggests that task–technology alignment also shapes perceptual and evaluative outcomes, including confidence, interpretability, and perceived risk in human–AI interaction (Lebovitz et al., 2021).

In the context of AI-supported decision-making, TTFT helps explain when the justifiability of an AI-generated command becomes consequential. When decision-makers perceive strong alignment between task demands and AI system capabilities, AI commands are interpreted as contextually appropriate and decision-relevant. Under such conditions, ignoring a well-justified GenAI command becomes more difficult to rationalize, increasing the perceived risk associated with inaction (Pareek et al., 2024). Conversely, when task–technology alignment is weak, decision-makers may discount AI commands and attribute potential adverse outcomes to system limitations rather than to their own failure to act.

Within this framework, GenAI tool quality and data quality represent key technological dimensions of task–technology alignment. High-quality GenAI tools, perceived as reliable, accurate, and tailored to the decision context, enhance perceived fit by signaling that the system can effectively support the task at hand. Similarly, high perceived data quality strengthens alignment by indicating that AI-generated commands rest on accurate, complete, and relevant



information (Xu et al., 2024). When such alignment is present, disregarding a well-justified GenAI command is more likely to be perceived as risky, as decision-makers have fewer grounds to attribute potential losses to technological deficiencies.

Task complexity, by contrast, reflects the cognitive demands imposed by the decision environment. Prior research shows that as task complexity increases, cognitive load can limit decision-makers' ability to process explanations and evaluate AI-generated guidance (Westphal et al., 2023; Xu et al., 2024). Under high complexity, even well-justified GenAI commands may be complex to evaluate, weakening perceived task–technology fit and reducing the extent to which justifiability translates into perceived risk of inaction. Importantly, this effect reflects diminished evaluability of consequences, not reduced system usefulness.

Taken together, these task- and technology-related conditions determine whether decision-makers interpret ignoring GenAI commands as a rational option or as a risky choice. By extending TTFT beyond performance prediction to encompass risk-based evaluative judgments, this study positions task–technology fit as a critical contextual mechanism shaping Perceived Risk of Inaction in AI-driven decision-making (Peham, 2023).

### *2.3. Rational Choice Theory (RCT)*

Rational Choice Theory (RCT) explains how decision-makers cognitively evaluate the trade-offs associated with alternative courses of action under uncertainty, including the choice to act on or ignore GenAI commands. According to RCT, individuals assess expected costs and benefits by anticipating the potential consequences associated with each option (Hechter and Kanazawa, 1997). In organizational settings, these evaluations are conducted under conditions of bounded rationality, as decision-makers rely on heuristics and incomplete information when approximating such cost–benefit trade-offs (Chen et al., 2019; Smith et al., 2021).

In the context of GenAI-supported decision-making, RCT suggests that perceived command justifiability shapes how decision-makers evaluate the expected losses associated with inaction. When a GenAI command is perceived as well-justified, decision-makers anticipate that ignoring it may lead to avoidable adverse outcomes, such as missed opportunities or suboptimal decisions, thereby increasing PRI. Conversely, when justifiability is perceived as weak or ambiguous, inaction may be evaluated as a rational and defensible option, resulting in lower PR (Santana and Díaz-Fernández, 2023).

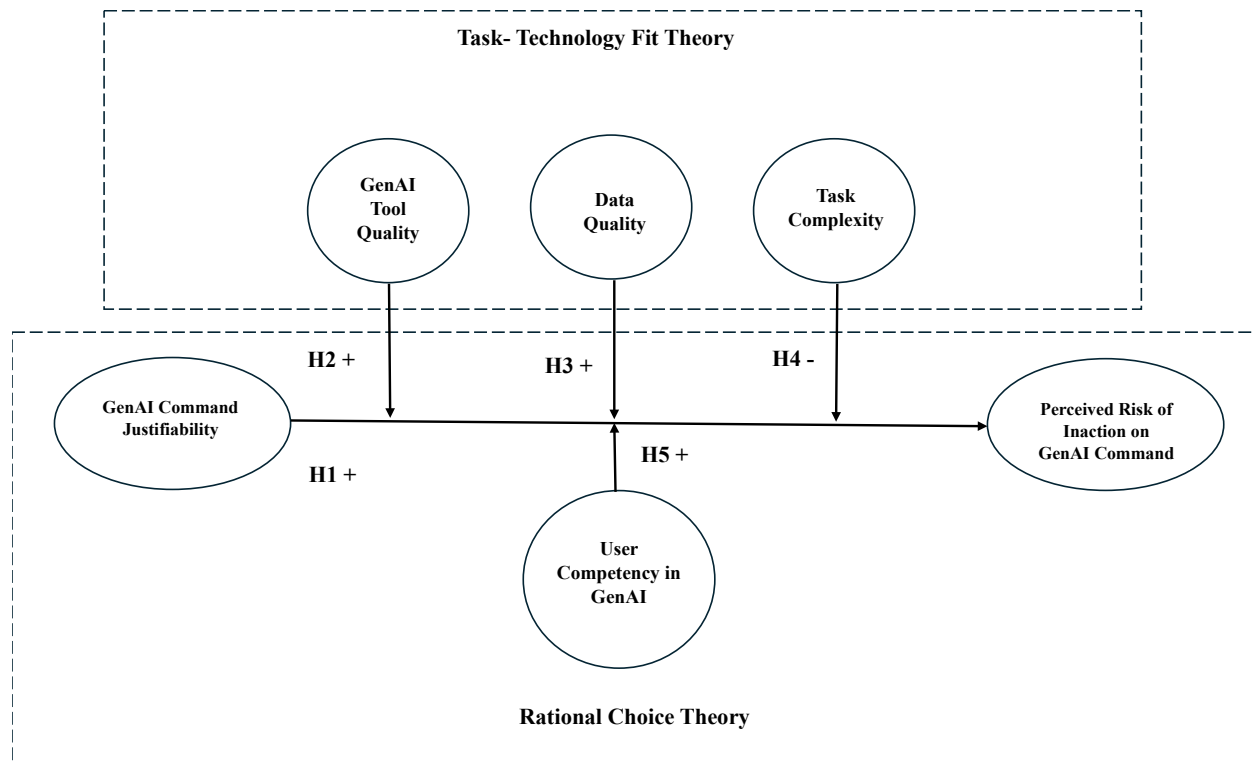
User competency with GenAI tools plays a critical role in this evaluative process. Competent users possess the analytical skills and experience necessary to interpret AI-generated reasoning, identify relevant cues, and assess the potential consequences of ignoring well-justified commands. This evaluative capability enables more accurate estimation of anticipated losses, strengthening the relationship between command justifiability and PRI (Freitas, 2025). In contrast, users with lower competency may misinterpret AI outputs, overestimate their own judgment, or underestimate the informational value of GenAI commands, leading to distorted cost–benefit assessments and a reduced perception of inaction risk (Huang and Desouza, 2025; Peham, 2023; Vaast, 2025).

Accordingly, RCT provides a cognitive foundation for understanding how command justifiability translates into perceived risk of inaction, and why this translation varies as a function of decision-makers' competency in evaluating GenAI commands.

### **3. Research Model and Hypotheses Development**

While prior research has extensively examined transparency, interpretability, and trust in AI systems, far less attention has been paid to how decision-makers evaluate the risk of *not acting* on AI-generated commands once such systems are embedded in organizational decision processes. In particular, extant literature offers limited insight into how cognitive evaluation and contextual

conditions jointly determine when ignoring a well-justified GenAI command is perceived as risky rather than neutral. To address this gap, Figure 1 presents the research model, which conceptualizes managerial responses to GenAI commands as a function of command justifiability and task- and system-level contingencies.



**Figure 1. Research Model**

Constructs and their definitions are illustrated in Table 3.

**Table 1. Constructs Definitions**

| Construct                                   | Definition                                                                                                           | Hypothesis | Theoretical Basis |
|---------------------------------------------|----------------------------------------------------------------------------------------------------------------------|------------|-------------------|
| <b>Perceived Risk of Inaction (PRI)</b>     | The anticipated adverse outcomes from failing to act on justified GenAI commands.                                    |            |                   |
| <b>GenAI Command Justifiability (GAICJ)</b> | The perceived rationality, evidential validity, and defensibility of a GenAI command.                                | H1 +       | RCT               |
| <b>GenAI Tool Quality</b>                   | The perceived reliability, usability, and contextual appropriateness of the AI system's interface and functionality. | H2 +       | TTFT              |

|                                            |                                                                                                                    |      |      |
|--------------------------------------------|--------------------------------------------------------------------------------------------------------------------|------|------|
| <b>Data Quality</b>                        | The perceived accuracy, completeness, and relevance of the data used by the GenAI system to generate its commands. | H3 + | TTFT |
| <b>Task Complexity</b>                     | The extent of cognitive demand and information processing required to complete a decision task.                    | H4 - | TTFT |
| <b>User Competency with the GenAI tool</b> | The decision-maker's level of analytical literacy, experience, and skill in interpreting GenAI commands.           | H5 + | RCT  |

GAICJ is a critical factor that influences how decision-makers perceive the value and relevance of AI-generated commands (Marabelli and Davison, 2025). When such commands are well-justified, decision-makers understand the underlying reasoning and logic behind the suggested command and assess whether it can be defended as an appropriate basis for action (Muralidharan et al., 2024). Disregarding them makes potential negative consequences more apparent, such as missed opportunities, poor outcomes, or inefficient decision-making. This defensibility draws attention to the potential consequences of disregarding the command, such as missed opportunities, suboptimal outcomes, or inefficiencies, thereby increasing the salience of inaction as a decision alternative. From a Rational Choice Theory perspective, decision-makers evaluate alternative courses of action by weighing anticipated costs and benefits under uncertainty (Marabelli et al., 2025; Marabelli and Davison, 2025; Zhang et al., 2022). When a Gen-AI command is perceived as well-justified, the expected losses associated with ignoring it become more salient relative to the perceived benefits of following it. As a result, inaction is no longer evaluated as a neutral default but as a choice with potentially avoidable negative consequences. This cognitive evaluation increases PRI, particularly in decision contexts characterized by uncertainty and accountability concerns (Hassija et al., 2024). Accordingly, when Gen-AI commands are perceived as well-justified, decision-makers are more likely to perceive a higher PRI associated with disregarding such commands (Wixom et al., 2023). Thus:

**H1:** *The justifiability of GenAI Command is positively associated with the Perceived Risk of Inaction (PRI).*

GenAI tool quality reflects the extent to which a GenAI system is perceived as reliable, capable, and appropriate for supporting a given decision task. When GenAI tool quality is perceived as high, decision-makers are more likely to view the system's outputs as diagnostically credible and relevant to the task at hand. In such cases, ignoring a well-justified GenAI command draws greater attention to the potential negative consequences of inaction, thereby increasing the perceived risk of disregarding the command (Choudhury and Asan, 2020).

Conversely, when a GenAI tool is perceived as low in quality, decision-makers may attribute potential adverse outcomes to system limitations rather than to their own failure to act. Even when a command appears well-justified, low GenAI tool quality provides a rationale to discount the command's relevance, thereby reducing the extent to which justifiability translates into perceived risk of inaction (Wang et al., 2023). In this situation, the positive relationship between GAICJ and PRI becomes weaker, as a lack of confidence in the GenAI tool undermines the GenAI command's credibility.

This moderating role of Gen-AI tool quality is consistent with Task–Technology Fit Theory, which posits that the effectiveness of a technology depends on its alignment with task requirements (Goodhue and Thompson, 1995). When a GenAI tool is well aligned with the decision task, well-justified commands are more likely to be perceived as appropriate and consequential, making inaction appear riskier. Accordingly, higher perceived GenAI tool quality strengthens the positive relationship between GenAI command justifiability and perceived risk of inaction. Therefore:

**H2:** *GenAI tools quality positively moderates the relationship between the Justifiability of its commands and the Perceived Risk of Inaction (PRI).*

Data quality reflects the extent to which the information underlying a GenAI command is perceived as accurate, complete, and relevant to the decision task. High perceived data quality can enhance the diagnostic foundation of a Gen-AI command by signaling that the command is grounded in appropriate and reliable information. In such cases, decision-makers may find it more challenging to attribute potential adverse outcomes to data limitations, thereby increasing the salience of inaction as a potentially costly choice (Alyoussef, 2023).

From a Task–Technology Fit perspective, the alignment between data characteristics and task requirements conditions the extent to which a technology’s outputs are perceived as appropriate for the decision at hand (Goodhue and Thompson, 1995; Spies et al., 2020). When data quality is perceived as high, well-justified GenAI commands are more likely to be viewed as contextually relevant and defensible, which can amplify the extent to which justifiability translates into perceived risk of inaction. Conversely, when data quality is perceived as low, decision-makers may discount the informational basis of a GenAI command and attribute uncertainty to data deficiencies, thereby weakening the relationship between command justifiability and perceived risk of inaction (Wang et al., 2023). Accordingly, perceived data quality is expected to positively moderate the relationship between Gen-AI command justifiability and perceived risk of inaction. Thus:

**H3:** *Data Quality positively moderates the relationship between the GenAI Command Justifiability and the Perceived Risk of Inaction (PRI).*

Task complexity reflects the cognitive demands associated with processing information, integrating multiple inputs, and navigating uncertainty during decision-making (Nguyen et al., 2022). As task complexity increases, decision-makers must allocate more cognitive resources to

understanding the decision context itself, leaving fewer resources available to evaluate the implications of acting on or ignoring a GenAI command.

In highly complex decision environments, even well-justified GenAI commands may be complicated to evaluate thoroughly. Cognitive load can reduce decision-makers' ability to assess the downstream consequences of inaction, making it harder to translate command justifiability into evident anticipation of loss (Xu et al., 2020). Under such conditions, inaction may appear less risky, primarily not because the command lacks merit, but because the consequences of ignoring it are less cognitively accessible.

From a Task–Technology Fit perspective, adequate decision support depends on the alignment between task demands and a technology's ability to reduce cognitive burden (Goodhue and Thompson, 1995). When task complexity exceeds decision-makers' capacity to process and interpret AI-generated guidance, the fit between the task and the GenAI system weakens, attenuating the extent to which justifiability elevates perceived risk of inaction. Accordingly, higher task complexity is expected to weaken the positive relationship between GenAI command justifiability and perceived risk of inaction. Therefore:

**H4:** *Task complexity negatively moderates the relationship between GenAI Command Justifiability and the Perceived Risk of Inaction (PRI).*

User competency with a Gen-AI tool reflects a decision-maker's ability to interpret, evaluate, and reason about AI-generated commands and their underlying rationale (Foroudi et al., 2025; Ghasemaghaei et al., 2018). From a Rational Choice Theory perspective, such competency enhances individuals' capacity to assess the expected costs and benefits associated with alternative courses of action, including the potential consequences of ignoring a GenAI command.

When user competency with GenAI is high, decision-makers are better able to evaluate the reasoning embedded in well-justified GenAI commands and anticipate potential losses associated with inaction, such as missed opportunities or suboptimal outcomes. This enhanced evaluative capability increases the salience of inaction as a risky choice, thereby strengthening the extent to which command justifiability translates into perceived risk of inaction (Wang et al., 2023).

In contrast, decision-makers with lower competency may struggle to assess the implications of ignoring even well-justified GenAI commands. Limited ability to interpret AI-generated reasoning can reduce sensitivity to anticipated losses, weakening the relationship between command justifiability and perceived risk of inaction. Accordingly, user competency is expected to condition how effectively justifiability informs risk evaluation in AI-supported decision-making. Thus:

**H5:** *User competency with a GenAI tool positively moderates the relationship between GenAI Command Justifiability and the Perceived Risk of Inaction (PRI).*

#### **4. Methodology**

This study employs a controlled experimental design with post-decision questionnaire-based measurement to examine the hypothesized relationships between GAICJ and PRI. The research design integrates a controlled experimental decision task with post-decision survey measurement, thereby grounding perceptions of inaction risk in an experienced managerial decision rather than in retrospective self-reports alone. This approach strengthens causal inference for the effect of GAICJ while preserving the ability to examine contextual moderators through validated perceptual measures.

The target population consists of senior managers with experience using GenAI tools to support organizational decision-making. We focused on senior managers because they are responsible for high-stakes decisions in which GAICJ and inaction risk are most impactful. Prior studies show



that managerial leaders shape digital transformation outcomes, define organizational risk thresholds, and decide when to rely on or override GenAI commands. In contrast, operational-level employees typically follow predefined recipes and instructions, limiting their discretion when evaluating GenAI commands (Rai et al., 2019). Thus, senior managers are an appropriate population for studying how justifiability influences perceptions of the consequences of disregarding GenAI commands.

#### *4.1. Research Design and Experimental Procedure*

Participants completed a scenario-based experimental decision task followed by a structured questionnaire. Upon entering the study, participants were randomly assigned to one of two experimental conditions that manipulated the justifiability of a GenAI command (high versus low). All participants were exposed to the same managerial decision scenario and received the same GenAI recommendation; only the accompanying justification varied across conditions.

The experimental task required participants to make a strategic resource-allocation decision in which maintaining the status quo was socially and politically defensible, whereas acting on the GenAI recommendation entailed uncertainty and potential accountability. After reviewing the GenAI command and its explanation, participants indicated how they would proceed (i.e., follow, partially follow, or ignore the command). Immediately following this decision, participants completed a questionnaire measuring PRI, GAICJ, and the study's contextual moderators.

By sequencing the questionnaire after an actual decision, the study captures perceived risk of inaction as a situational judgment elicited by the focal task rather than as a general attitude toward AI.

#### *4.2. Experimental Task and Manipulation*

The experimental scenario placed participants in the role of a senior manager responsible for allocating organizational resources across strategic initiatives, reviewed quarterly. The current allocation favored an established, stable initiative that delivered reliable but incremental value, while an emerging initiative offered higher potential returns alongside greater uncertainty. Participants were informed that increasing resources for one initiative required reallocating resources away from another.

Participants then received the following GenAI command:

*“Reallocate 20% of the resources from Program X to Program Y during the upcoming quarter.”*

The commanded action was identical across conditions. GAICJ was manipulated through the explanation accompanying the command. In the high-justifiability condition, the GenAI provided a detailed rationale that outlined trade-offs, alignment with organizational priorities, and the anticipated consequences of maintaining the current allocation. In the low-justifiability condition, the explanation was minimal and offered no substantive reasoning beyond asserting the recommendation.

This manipulation isolates the effect of command justifiability from the content of the recommendation itself. To verify the effectiveness of the experimental manipulation, a manipulation check was administered immediately after the decision task. Participants evaluated the extent to which the GenAI command they received was well-justified and convincing. These items assessed whether the explanation accompanying the GenAI command was perceived as providing sufficient rationale to support action. The manipulation check was used solely to validate the experimental conditions and was not included in the hypothesis testing models. The full

experimental scenario, justification manipulations, and manipulation check items are provided in Appendix A.

#### *4.3. Participants and Sample Size*

The participants in this study consisted of senior managers with experience using Generative AI tools to support organizational decision-making. Senior managers were selected because the experimental task required discretionary, strategic judgment involving trade-offs, accountability, and potential consequences of inaction. These conditions are characteristic of managerial decision contexts but less applicable to operational roles.

Participants were recruited through professional networks and industry mailing lists targeting managers across North American organizations. Eligibility screening ensured that all participants had prior exposure to GenAI tools in their organizational roles and were familiar with AI-supported decision environments. This screening was used to ensure that participants could meaningfully engage with the experimental task and evaluate the GenAI command presented during the study.

A total of 1020 eligible managers were invited to participate. Following power-analysis guidelines, the minimum required sample size was estimated using Cohen's  $f^2 = 0.02$  (small effect size), a desired statistical power of 0.95, and an alpha level of 0.05, yielding a threshold of 220 participants. The final sample comprised 276 completed experimental sessions, exceeding the minimum required to detect interaction effects in moderated regression analyses.

Participants were randomly assigned to either the high-justifiability or low-justifiability experimental condition. All participants completed the same decision task and received the same GenAI recommendation; only the justification accompanying the command differed across conditions. Random assignment ensures that observed differences in perceived risk of inaction can

be attributed to the experimental manipulation rather than to systematic differences across participants. Table 4 summarizes the participants' demographics.

**Table 2. Participants Demographics**

| Sample Characteristics                     | Values                                                             |
|--------------------------------------------|--------------------------------------------------------------------|
| Number of Participants                     | 276                                                                |
| Age Mean                                   | 49.72                                                              |
| Gender                                     | 97 Female Participants<br>179 Male Participants                    |
| Education                                  | High School: 2%<br>College: 9%<br>BSc: 15%<br>MSc: 56%<br>PhD: 18% |
| Average Firm Size<br>(Number of Employees) | 117                                                                |

To assess non-response bias, the procedure of Armstrong and Overton (1977) was followed by comparing early- and late-participants on demographic characteristics and key study variables. No statistically significant differences were observed, suggesting that non-response bias is unlikely to affect the results.

#### *4.4. Measurement Scale*

Following completion of the experimental decision task, participants completed a questionnaire measuring all study constructs using validated multi-item Likert-type scales from prior research.

The dependent variable, PRI, was assessed using a Likert-type scale adapted from Lagoe and Farrar (2015) to capture anticipated regret and concern about ignoring the GenAI command. All PRI items were explicitly anchored to the experimental decision to capture the perceived risk of inaction in the focal task, rather than to general attitudes toward GenAI.

The independent variable, GAICJ, was measured using a multi-item Likert-type scale (Lagoe and Farrar, 2015; Biran and Cotton, 2017) that reflects the perceived clarity, evidentiary support, and defensibility of GenAI commands. In addition to its experimental manipulation, GAICJ was

measured perceptually to both validate the manipulation and capture participants' subjective evaluation of the command's defensibility. A separate manipulation check consisting of three items was included to confirm that participants perceived differences in justifiability across experimental conditions.

Moderator constructs, GenAI tool quality (Yang et al., 2005), task complexity (Westphal et al., 2023), and user competency with the GenAI tools (Ma and Chen, 2024), were operationalized as multi-item reflective measures. Data quality (Olson, 2003) was also operationalized using a multi-item reflective measure. Participants evaluated data quality based on their perception of the accuracy, completeness, and relevance of the organizational data implicitly referenced by the GenAI system in the experimental task. Participants evaluated data quality based on their perception of the accuracy, completeness, and relevance of the organizational data summarized and presented as part of the experimental task. A complete list of items and scales is given in Appendix B.

It is worth noting that although the GAICJ conceptually overlaps with explainable AI, it captures a distinct, actionable dimension. Explainability is descriptive, focusing on how well users understand the system's logic. In contrast, justifiability is evaluative, determining whether the GenAI command provides sufficient rational and evidentiary grounds to warrant action. This distinction ensures that the construct measures perceived rational defensibility rather than mere interpretability.

#### *4.5. Data Analysis Procedure*

The experimental manipulation of GAICJ supports a causal interpretation of its primary effect on PRI. At the same time, the post-decision questionnaire measures enable examination of boundary

conditions consistent with Rational Choice Theory and Task–Technology Fit Theory. All analyses were conducted using established statistical procedures appropriate for interaction testing.

To test the hypothesized relationships, Moderated Multiple Regression (MMR) was employed to examine how GAICJ affects PRI and how this relationship is moderated by GenAI tool quality, task complexity, data quality, and user competency with the GenAI tool. MMR is well-suited for detecting both primary and interaction effects, enabling simultaneous evaluation of contextual and cognitive moderators through a single model (Aguinis, 1995).

Although multiple latent constructs were measured, MMR was chosen over covariance-based structural equation modeling (CB-SEM) for several reasons. First, this study focuses on interaction effects, for which MMR provides a straightforward estimation framework that offers greater parsimony and interpretability. Second, the sample size ( $N = 276$ ) is below optimal thresholds typically recommended for complex SEM models involving multiple moderators. Third, MMR allows direct visualization and probing of interaction slopes, which aligns with the study’s objective of demonstrating how contextual and cognitive conditions alter the strength of the core relationship (Hayes, 2018).

Data analysis was conducted in Python using libraries summarized in Table 5. Normality and homoscedasticity assumptions were examined using the Shapiro–Wilk and Breusch–Pagan tests before testing the hypotheses.

**Table 3. Utilized Python Libraries**

| <b>Library</b> | <b>Purpose</b>                                     |
|----------------|----------------------------------------------------|
| Pandas         | Data Cleaning and Manipulation                     |
| Statsmodels    | Moderated Multiple Regression and Other Statistics |
| matplotlib     | Data Visualization                                 |
| Seaborn        | Interaction Effects                                |
| Scipy          | Shapiro-Wilk and Breusch-Pagan tests               |

## 5. Results

### 5.1. Manipulation Check

To verify the effectiveness of the experimental manipulation, we examined participants' responses to the manipulation-check items assessing perceived justifiability of GenAI commands. An independent-samples t-test revealed a significant difference between the experimental conditions. Participants in the high-justifiability condition perceived the GenAI command as significantly more justified than those in the low-justifiability condition ( $p < 0.001$ ).

As shown in Table 6, the mean perceived justifiability score was higher in the high-justifiability condition than in the low-justifiability condition, confirming that the explanation accompanying the GenAI command successfully altered participants' perceptions of justifiability in the intended direction. This result indicates that the experimental manipulation of GAICJ functioned as designed. The manipulation check was used solely to validate the experimental conditions and was not included in the hypothesis-testing models.

**Table 6. Manipulation Check Results for GenAI Command Justifiability**

| Experimental Condition | Mean GAICJ | Standard Deviation | t-value | p-value |
|------------------------|------------|--------------------|---------|---------|
| High Justifiability    | 6.18       | 0.87               |         |         |
| Low Justifiability     | 5.24       | 1.06               | 5.94    | < 0.001 |

**Notes:** GAICJ = GenAI Command Justifiability. Higher values indicate greater perceived justifiability of the GenAI command. Values are based on manipulation-check items and were not included in the hypothesis-testing models. The reported t-value and p-value reflect the comparison between the high- and low-justifiability conditions.

It should also be noted that no significant differences were observed between the experimental conditions on demographic characteristics or baseline moderator variables, indicating that random assignment was successful. These results provide empirical confirmation that GAICJ was successfully manipulated prior to hypothesis testing.

## 5.2. Measurement Model

Before testing the hypotheses, we assessed internal consistency, construct reliability, and convergent and discriminant validity to establish the soundness of the measurement model, and then evaluated the structural relationships using MMR.

Table 7 summarizes the descriptive statistics, reliability coefficients, and inter-construct correlations. PRI shows moderate positive correlations with GAICJ (0.33), GenAI Tool Quality (0.34), and Data Quality (0.34), while Task Complexity (-0.40) is negatively correlated with PRI and with these predictors. These correlations suggest a consistent pattern: as GenAI commands appear more justified and system conditions improve, decision-makers perceive greater risk in disregarding the commands. This alignment is consistent with our conceptual framing, which proposes that tool confidence and data integrity enhance perceptions of decision defensibility.

Cronbach's alpha values (0.85 – 0.88) and composite reliabilities (0.74 – 0.81) exceed acceptance thresholds ( $\alpha > 0.70$ ,  $CR > 0.70$ ), confirming strong internal consistency and reliability across all constructs (Taber, 2018).

**Table 7. Internal Consistency and Discriminant Validity of Constructs**

|                                        | <b>Cronbach's Alpha</b> | <b>Composite Reliability</b> | <b>PRI</b>  | <b>GAICJ</b> | <b>GAITQ</b> | <b>TC</b>   | <b>DQ</b>   | <b>UCGAI</b> |
|----------------------------------------|-------------------------|------------------------------|-------------|--------------|--------------|-------------|-------------|--------------|
| Perceived Risk of Inaction (PRI)       | 0.85                    | 0.78                         | <b>1.00</b> |              |              |             |             |              |
| GenAI Command Justifiability (GAICJ)   | 0.87                    | 0.79                         | 0.33        | <b>1.00</b>  |              |             |             |              |
| GenAI Tool Quality (GAITQ)             | 0.88                    | 0.76                         | 0.34        | 0.56         | <b>1.00</b>  |             |             |              |
| Task Complexity (TC)                   | 0.88                    | 0.74                         | - 0.40      | - 0.50       | - 0.37       | <b>1.00</b> |             |              |
| Data Quality (DQ)                      | 0.88                    | 0.75                         | 0.34        | 0.53         | 0.53         | - 0.41      | <b>1.00</b> |              |
| User Competency with GenAI Tool (UCAI) | 0.88                    | 0.81                         | 0.19        | 0.59         | 0.51         | - 0.37      | 0.21        | <b>1.00</b>  |
| Mean                                   | -                       | -                            | 3.05        | 5.71         | 5.66         | 5.39        | 5.68        | 5.73         |



|                    |   |   |      |      |      |      |      |      |
|--------------------|---|---|------|------|------|------|------|------|
| Standard Deviation | - | - | 1.28 | 1.05 | 0.91 | 1.10 | 0.84 | 0.94 |
|--------------------|---|---|------|------|------|------|------|------|

Appendix C displays the factor loadings for each construct. All primary loadings exceed 0.84, well above the 0.70 benchmark for convergent validity, and cross-loadings are minimal. This pattern confirms that each item loads uniquely on its intended construct, supporting discriminant validity. Together, the reliability and validity tests confirm that the measurement model provides a strong foundation for hypothesis testing.

### 5.3. Main Effect of GenAI Command Justifiability (GAICJ)

We first tested the direct effect of GAICJ on PRI (Model 1). As shown in Table 8, GAICJ has a significant positive influence (coef = 0.4040,  $p < 0.001$ ). This implies that when decision-makers perceive GenAI commands as rational and defensible, they experience higher PRI. The model explains 20.8% of the variance in PRI ( $R^2 = 0.208$ ), demonstrating a meaningful baseline relationship between justifiability and PRI. These results support H1.

**Table 8. MMR Results - Main Effect**

| Variable                     | Coefficient | Standard Error | t-value | p-value |
|------------------------------|-------------|----------------|---------|---------|
| Constant (Intercept)         | 5.3507      | 0.435          | 12.314  | 0.000   |
| GenAI Command Justifiability | 0.4040      | 0.075          | 5.393   | 0.000   |

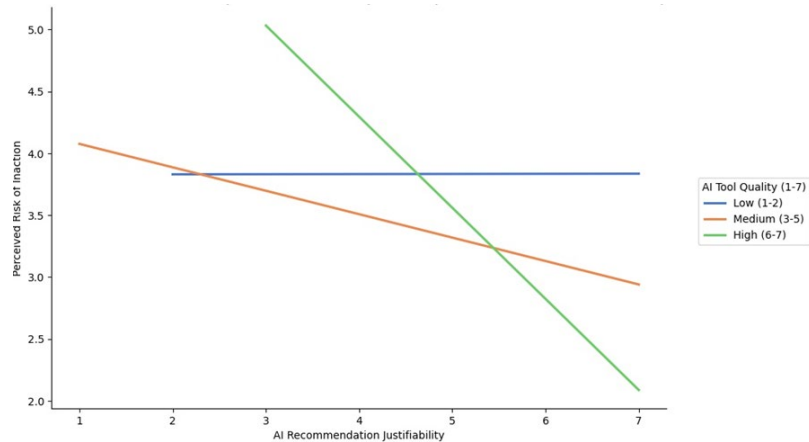
### 5.4. Interaction Effects

In Model 2, interaction terms were introduced between GAICJ and each moderator, GenAI Tool Quality, Data Quality, Task Complexity, and User Competency with GenAI tools, to test H2–H5. As shown in Table 9, the model’s explanatory power increased from  $R^2 = 0.208$  to  $R^2 = 0.573$ , indicating that contextual and cognitive moderators substantially enhance the model's ability to predict PRI.

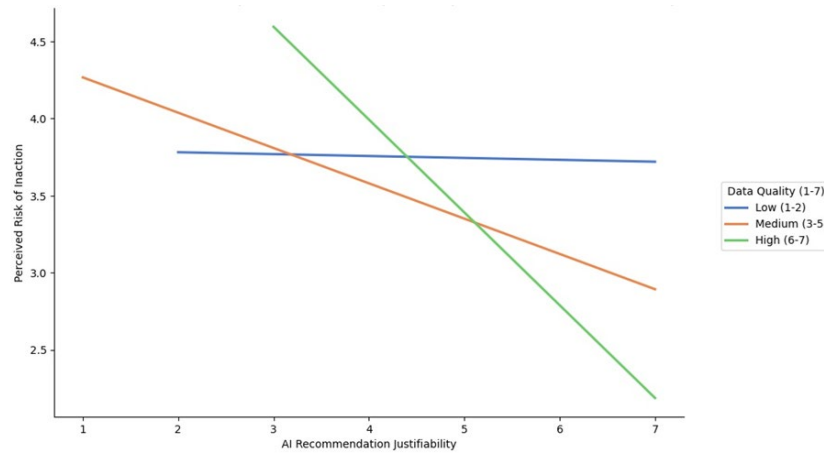
**Table 9. MMR Results - Moderations**

| Variable                                        | Coefficient | Standard Error | t-value | p-value |
|-------------------------------------------------|-------------|----------------|---------|---------|
| Constant (Intercept)                            | 3.9086      | 0.506          | 7.731   | 0.000   |
| GenAI Command Justifiability                    | 0.4456      | 0.193          | 2.312   | 0.022   |
| Interaction GenAI Tool Quality                  | 0.0598      | 0.025          | 2.435   | 0.016   |
| Interaction Data Quality                        | 0.0517      | 0.029          | 1.767   | 0.078   |
| Interaction Task Complexity                     | -0.0661     | 0.013          | -5.063  | 0.000   |
| Interaction User Competency with the GenAI tool | 0.0701      | 0.021          | 3.267   | 0.001   |

The interaction between GenAI tool quality and GAICJ is positive and significant ( $p = 0.016$ ). As perceived tool quality rises, the slope between GAICJ and PRI steepens, and decision-makers assign greater weight to justified GenAI commands when they trust the system's reliability. This underscores the role of system quality in reinforcing the defensibility of decisions, as shown in Figure 2.

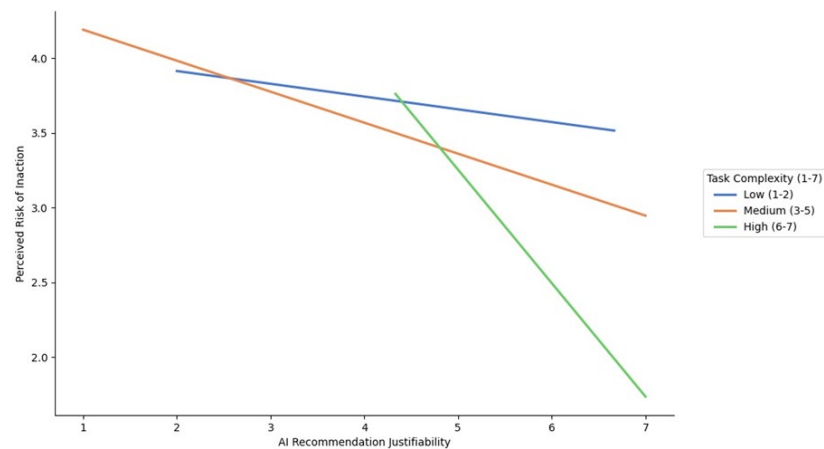
**Figure 2. GenAI Tool Quality Moderation**

The interaction between data quality and GAICJ is statistically non-significant at conventional levels ( $p = 0.078$ ). Although not significant at the 0.05 level, the trend suggests that higher-quality data may strengthen the relationship between GAICJ and PRI. This potential moderation effect, shown in Figure 3, merits further investigation in future studies.



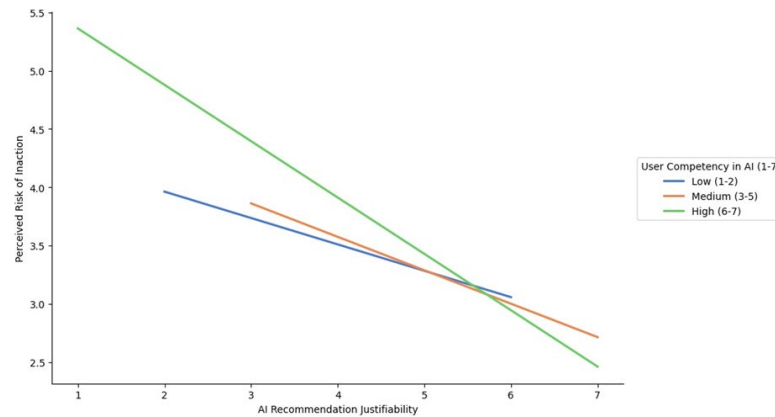
**Figure 3. Data Quality Moderation**

The interaction between task complexity and GAICJ is highly significant and negative ( $p < 0.001$ ). When tasks are cognitively demanding, decision-makers perceive a lower risk of inaction when dismissing GenAI commands, suggesting reduced reliance on GenAI under uncertainty, as depicted in Figure 4.



**Figure 4. Task Complexity Moderation**

The interaction between user competency and the GAICJ is positive and significant ( $p = 0.001$ ). As AI literacy increases, the impact of GAICJ on PRI intensifies, with skilled users showing greater sensitivity to the implications of ignoring well-founded GenAI commands, as shown in Figure 5.



**Figure 5.** User Competency in AI Moderation

Together, these results indicate robust support for H1, H2, H4, and H5, with H3 (partially supported) remaining suggestive rather than conclusive. The overall outcomes of the hypothesis testing are summarized in Table 10, which consolidates the proposed relationships and their statistical significance.

**Table 10. Summary of Hypothesis Testing Results**

| Hypothesis | Statement                                                                            | Result                              |
|------------|--------------------------------------------------------------------------------------|-------------------------------------|
| H1         | GenAI Command Justifiability positively affects PRI                                  | Supported ( $p < 0.001$ )           |
| H2         | AI Tool Quality positively moderates the GAICJ–PRI relationship                      | Supported ( $p = 0.016$ )           |
| H3         | Data Quality positively moderates the GAICJ–PRI relationship                         | Partially Supported ( $p = 0.078$ ) |
| H4         | Task Complexity negatively moderates the GAICJ–PRI relationship                      | Supported ( $p < 0.001$ )           |
| H5         | User Competency with the GenAI tool positively moderates the GAICJ–PRI relationship. | Supported ( $p = 0.001$ )           |

### 5.5. Robustness Tests

Table 11 compares model fit statistics for the main and interaction-effect models. The inclusion of moderation terms substantially improves explanatory power ( $\Delta R^2 = 0.36$ ). Both AIC and BIC values decrease in Model 2, indicating superior model parsimony and fit; lower AIC/BIC reflects a better balance between goodness-of-fit and model complexity.

**Table 11. Model Fit Statistics**

| Statistic           | Model 1:<br>Main Effects | Model 2:<br>Interaction Effects |
|---------------------|--------------------------|---------------------------------|
| R-squared ( $R^2$ ) | 0.21                     | 0.57                            |
| Adjusted R-squared  | 0.20                     | 0.54                            |

|                    |          |          |
|--------------------|----------|----------|
| <b>F-Statistic</b> | 29.08    | 17.71    |
| <b>p-value (F)</b> | 1.66e-07 | 6.73e-15 |
| <b>AIC</b>         | 483.18   | 241.74   |
| <b>BIC</b>         | 490.16   | 262.67   |

To confirm the robustness of the results, Variance Inflation Factors (VIFs) were examined to assess multicollinearity. All values were below 3 as listed in Table 12, indicating no problematic collinearity and stable estimates.

**Table 12. Multicollinearity Analysis**

| <b>Variable</b>                     | <b>VIF</b> |
|-------------------------------------|------------|
| Perceived Risk of Inaction          | 2.71       |
| GenAI Command Justifiability        | 2.89       |
| GenAI Tool Quality                  | 2.05       |
| Data Quality                        | 1.87       |
| Task Complexity                     | 2.39       |
| User Competency with the GenAI tool | 2.81       |

To further assess potential common method bias in the post-decision questionnaire measures, two tests were conducted. Harman's single-factor test showed that the first factor accounted for only 32.6% of the variance, well below the 50% threshold, indicating that CMB is not a serious issue (Podsakoff et al., 2003). Variance Inflation Factors also remained below 3.0, corroborating the absence of method bias (Kock, 2015). If future data permit, a marker variable approach using a theoretically unrelated construct could serve as an additional robustness check.

Finally, model assumptions were verified. The Shapiro–Wilk test ( $p = 0.530$ ) confirmed normal residual distribution, and the Breusch–Pagan test ( $p = 0.903$ ) verified homoscedasticity. Together, these analyses demonstrate that the measurement model is reliable, the structural model is statistically sound, and the results are robust to bias and distributional violations.

## **6. Discussion**

Prior research on artificial intelligence adoption has primarily focused on why individuals and organizations choose to engage with AI tools, emphasizing constructs such as perceived

usefulness, trust, and intention to use. In contrast, this study shifts attention to a later, less-examined stage of AI use: how decision-makers evaluate the risk of not acting on GenAI commands once such tools are already embedded in organizational decision-making processes. By focusing on Perceived Risk of Inaction (PRI), this study highlights a distinct psychological mechanism that shapes GenAI utilization beyond initial adoption.

Unlike conventional information systems that operate through deterministic rules and predictable outputs, Generative AI produces probabilistic, non-deterministic commands whose rationale may not be fully transparent. This characteristic introduces a unique form of uncertainty for decision-makers, who must assess not only whether an AI command is correct, but whether ignoring it could expose them to avoidable negative consequences. The experimental results demonstrate that justifiability plays a central role in this evaluation. When a GenAI command is perceived as well-justified, that is, supported by defensible reasoning and evidence, decision-makers experience heightened PRI, even when inaction remains socially or politically defensible.

The experimental design strengthens this conclusion by showing that the relationship between GAICJ and PRI is not merely attitudinal but emerges after an actual managerial decision is confronted. Participants evaluated the risk of inaction in response to a concrete GenAI command embedded in a realistic strategic resource-allocation scenario, rather than reflecting on abstract or retrospective experiences. This finding suggests that PRI is a situational judgment shaped by the immediate decision context, rather than a stable disposition toward AI.

The moderating effects observed in the study further refine this mechanism. Higher perceived GenAI tool quality and greater user competency with the GenAI tool amplify the impact of justifiability on PRI, indicating that decision-makers are more sensitive to the consequences of inaction when they trust the system and possess the capability to evaluate its reasoning. In contrast,

increased task complexity weakens this relationship, consistent with Task–Technology Fit Theory: when cognitive demands are high, decision-makers appear less able to translate justifiability into perceived risk of inaction. The marginal role of data quality suggests that while data integrity contributes to perceived credibility, it may be less salient to decision-makers than tool performance and interpretive competence when assessing the risk of ignoring GenAI commands.

Taken together, these findings extend AI research beyond adoption-centric explanations and toward a risk-based account of action and inaction in AI-supported decision-making. By integrating Rational Choice Theory and Task–Technology Fit Theory, the study demonstrates how decision-makers cognitively weigh the anticipated costs of ignoring justified GenAI commands and how contextual and technological conditions shape this calculus. Rather than portraying GenAI use as a function of compliance or trust alone, the results suggest that engagement with GenAI is increasingly driven by concerns over accountability, defensibility, and the potential consequences of inaction in environments where AI-generated commands carry strategic weight.

### *6.1. Theoretical Contributions*

This research advances theory in artificial intelligence, risk management, and human–AI decision-making through several interrelated contributions. First, the study introduces and empirically substantiates Perceived Risk of Inaction (PRI) as a distinct and theoretically meaningful construct in AI-supported decision-making. Prior research has broadly conceptualized AI-related risk in terms of adoption barriers, misuse, or the consequences of acting on flawed recommendations. By contrast, this study foregrounds the risk of failing to act on AI-generated commands once such systems are embedded in organizational decision-making processes. Drawing on Rational Choice Theory, PRI captures a forward-looking evaluation of the anticipated losses from ignoring justified

GenAI commands. This reframing extends AI research beyond compliance and trust by highlighting inaction as an active, cognitively evaluated choice rather than a neutral default.

Second, the study clarifies the conceptual role of GenAI Command Justifiability (GAICJ) as an action-oriented mechanism distinct from transparency and explainability. While transparency emphasizes the visibility and interpretability of algorithmic logic (Liao et al., 2020; Hassija et al., 2024), justifiability reflects whether a GenAI command provides sufficient evidential and rational grounds to be defended as a basis for action. The findings demonstrate that GAICJ is not merely a descriptive property of AI outputs, but a normative signal that shapes decision-makers' assessments of accountability and responsibility. In this sense, GAICJ functions as a bridge between algorithmic reasoning and managerial defensibility, enriching theoretical accounts of how AI-generated commands become decision-relevant in organizational contexts.

Third, this study extends Task–Technology Fit Theory beyond its traditional application to technology usage and performance outcomes. Originally developed to explain when technologies enhance task effectiveness (Goodhue and Thompson, 1995; Spies et al., 2020), Task–Technology Fit Theory is adapted here to explain risk-based evaluative judgments. The results show that contextual alignment between task demands, tool quality, data quality, and user competency conditions whether justifiability translates into heightened PRI. In doing so, the study demonstrates that task–technology fit shapes not only whether a system is used, but how decision-makers interpret the consequences of not using it. This extension positions Task–Technology Fit Theory as a lens for understanding cognitive risk appraisal in AI-supported decision environments characterized by uncertainty and discretion.

Fourth, by integrating Rational Choice Theory and Task–Technology Fit Theory within an experimental framework, the study advances a process-oriented view of AI-assisted decision-



making. Rational Choice Theory explains the cognitive calculus through which decision-makers weigh anticipated costs of inaction. At the same time, Task–Technology Fit Theory identifies situational and technological boundary conditions that amplify or attenuate this calculus. GAICJ serves as the connective mechanism, linking these perspectives and anchoring risk evaluations in the perceived defensibility of AI-generated commands. Together, these theories form a unified framework that connects psychological reasoning, technological characteristics, and task context, offering a more granular account of how AI commands influence decision behavior under uncertainty.

Fifth, the study contributes to emerging theory on AI governance and accountability by demonstrating that risk perceptions associated with GenAI are not limited to overreliance or misuse. Instead, governance challenges also arise from decision-makers' concerns about being held accountable for ignoring well-justified AI commands. By empirically showing that GAICJ increases PRI under certain contextual conditions, the study suggests that AI governance should account for pressures toward action driven by perceived risk of inaction. This insight extends theoretical discussions of responsible AI by highlighting a previously underexplored tension: well-justified AI commands may simultaneously support better decisions and constrain managerial discretion by making inaction appear increasingly risky.

Finally, the experimental design underlying this study strengthens theoretical inference by demonstrating that PRI emerges in response to a concrete decision situation, rather than as a generalized attitude toward AI. By eliciting PRI after participants confronted an actual GenAI command embedded in a realistic managerial task, the study shows that the risk of inaction is situationally constructed and sensitive to contextual cues. This experimental grounding reinforces the theoretical claim that PRI is a dynamic evaluative mechanism activated during decision

episodes, rather than a stable disposition toward AI systems. As such, the study provides a foundation for future theorizing on temporal, contextual, and governance-related dynamics of AI-assisted decision-making.

## *6.2. Practical Contributions*

The findings offer actionable guidance for organizations seeking to design, deploy, and govern Generative AI systems that support managerial decision-making. Rather than focusing solely on increasing adoption or compliance, the results highlight the importance of managing how decision-makers perceive the risks associated with not acting on GenAI commands.

First, the results underscore the central role of justifiability-by-design. Organizations can reduce ambiguity around inaction by embedding explicit justifiability mechanisms into GenAI systems, such as structured reasoning summaries, traceable evidence references, and clear articulation of assumptions and trade-offs underlying AI-generated commands. These mechanisms do more than improve transparency; they enhance the defensibility of decisions by enabling managers to explain and justify their actions, or inaction, to stakeholders. When GenAI commands are presented in a defensible manner, decision-makers are better positioned to evaluate whether ignoring them carries meaningful consequences.

Second, the findings highlight that the quality of GenAI tools and user competence jointly shape perceptions of inaction risk. High-quality GenAI tools act as credibility anchors, increasing sensitivity to justified commands, particularly among decision-makers with sufficient interpretive capability. Organizations should therefore treat investments in AI infrastructure and in human capability as complementary rather than as substitutes. Deploying sophisticated GenAI systems without corresponding efforts to build user competency may blunt the intended benefits, as

decision-makers may lack the ability to interpret or assess the justifiability of AI-generated commands.

Third, the negative moderating role of task complexity suggests a critical design and governance implication. In highly complex decision environments, decision-makers may experience cognitive overload that reduces sensitivity to the justifiability of GenAI commands, thereby lowering the perceived risk of inaction. In such contexts, organizations should not assume that better AI alone will induce appropriate action. Instead, they should supplement GenAI outputs with escalation cues, prioritization signals, or explicit communication about the potential downstream consequences of ignoring well-justified commands. This can help ensure that complexity does not inadvertently normalize inaction when a timely response is critical.

Fourth, the findings carry implications for AI governance and accountability structures. As GenAI commands become more justified and defensible, managers may feel increasing pressure to act, even in situations where discretion remains appropriate. Organizations should therefore calibrate governance mechanisms to avoid unintended overreliance. For example, decision logs, accountability frameworks, and review protocols can be designed to distinguish between justified action, justified inaction, and negligence. Such mechanisms help preserve managerial autonomy while ensuring that well-justified GenAI commands are neither ignored without reason nor followed uncritically.

Finally, the results emphasize the importance of experiential AI training. Beyond general AI awareness, organizations can develop decision-makers' ability to evaluate justifiability through hands-on interpretability workshops, interactive dashboards that surface AI rationale, and decision simulation environments that allow managers to explore "what-if" scenarios. These experiential

approaches enable users to understand not only what the AI recommends, but why inaction may be risky in specific contexts and reasonable in others.

Taken together, these implications suggest that effective GenAI deployment requires more than accurate models or persuasive interfaces. By investing in justifiability-focused system design, aligning AI capabilities with task complexity, strengthening user competency, and embedding appropriate governance safeguards, organizations can reduce the risk of harmful inaction while promoting more confident, accountable, and context-sensitive AI-assisted decisions.

### *6.3. Limitations and Future Research*

This study has a few limitations that open avenues for further scholarly studies. First, although the study employs a controlled experimental design that strengthens causal inference relative to survey-only approaches, the primary dependent variable, Perceived Risk of Inaction (PRI), remains a perceptual construct measured through self-reports. While PRI was elicited immediately after participants confronted a concrete GenAI command embedded in a realistic managerial decision task, future research could complement perceptual measures with behavioral or longitudinal outcomes, such as actual follow-through decisions, escalation behavior, or delayed consequences of action versus inaction in real organizational settings.

Second, the experimental task was designed to balance realism with control by presenting a simplified strategic resource-allocation scenario. Although this approach enhances internal validity, it necessarily abstracts away from some complexities of real-world organizational decision-making, such as political dynamics, multi-stakeholder negotiation, and evolving information over time. Future studies could employ field experiments, longitudinal case studies, or simulation-based designs to examine how justifiability and perceived risk of inaction unfold across extended decision processes and repeated interactions with GenAI systems.

Third, while the study explicitly incorporates contextual moderators such as tool quality, data quality, task complexity, and user competency, these factors were measured perceptually rather than manipulated experimentally. This design choice aligns with the study's focus on decision-makers' subjective evaluations but limits causal claims regarding these moderators. Future research could explore factorial experimental designs that systematically vary data quality cues, explanation formats, or levels of task complexity to further disentangle their causal roles in shaping PRI.

Fourth, the sample consisted of senior managers based primarily in North America. Although this population is appropriate for studying discretionary, high-stakes decision-making, cultural norms, regulatory environments, and organizational governance structures may influence how decision-makers perceive the risk of ignoring GenAI commands. Future research should examine PRI across different cultural contexts, industries, and governance regimes, as well as across various organizational levels, to assess the boundary conditions of the proposed framework.

Finally, future studies could investigate the dynamic consequences of PRI over time. At the same time, this study examines how justifiability shapes the perceived risk of inaction at the point of decision. High or persistent PRI may have downstream effects, such as overreliance on GenAI commands, reduced managerial discretion, or decision paralysis in ambiguous situations. Conversely, low PRI may lead to systematic underutilization of well-justified AI support. Examining these longer-term behavioral and organizational outcomes would further advance theory on responsible and balanced use of Generative AI in decision-making.

## **7. Conclusion**

This study reframes organizational engagement with Generative AI (GenAI) by shifting attention from adoption motivations to the perceived risk of inaction that arises once GenAI systems are

embedded in managerial decision processes. Rather than treating nonuse as a neutral default, the findings show that decision-makers actively evaluate the anticipated costs of ignoring GenAI commands, particularly when those commands are perceived as well-justified. Using a controlled experimental design, the study demonstrates that GenAI Command Justifiability (GAICJ) plays a central role in shaping Perceived Risk of Inaction (PRI), transforming GenAI commands from informational inputs into decision-relevant signals.

The results further indicate that this effect is context-dependent. PRI intensifies when GenAI tools are perceived as high-quality and when users possess sufficient competence to interpret AI-generated reasoning, whereas higher task complexity dampens sensitivity to justifiability. The weaker role of data quality suggests that decision-makers may rely more on system performance and interpretive capability than on explicit assessments of underlying data when evaluating inaction risk.

From a practical perspective, the findings highlight that responsible GenAI deployment requires more than accurate models or persuasive interfaces. Organizations can reduce harmful inaction by emphasizing justifiability in system design, aligning AI capabilities with task demands, and strengthening decision-makers' ability to evaluate and defend AI-supported judgments. At the same time, the results caution that increasingly justified GenAI commands may exert pressure toward action, underscoring the need for governance mechanisms that preserve discretion and accountability.

By conceptualizing AI engagement through the lens of PRI, this research advances understanding of human–AI decision-making. It provides a foundation for developing risk-aware, accountable, and context-sensitive approaches to Generative AI governance in organizational settings.

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## Appendix A: Experimental Scenario and Manipulation Check

### *A.1 Experimental Scenario: Strategic Resource Reallocation Task*

Participants were presented with the following scenario:

*You are a senior manager responsible for allocating organizational resources across multiple strategic initiatives. These initiatives support the organization's medium-term objectives and are reviewed quarterly.*

*The current allocation has been in place for several review cycles and is considered stable. Program X is an established initiative that delivers consistent and predictable value and is generally viewed as politically safe within the organization. While it does not offer substantial growth opportunities, it is associated with low short-term risk.*

*Program Y is an emerging initiative aligned with evolving organizational priorities. It involves greater uncertainty and implementation challenges but has the potential to generate significant long-term benefits. Increasing resources for Program Y would require reducing resources allocated to Program X.*

*Due to organizational constraints, any increase in resources for one initiative must be offset by a reduction elsewhere. The GenAI system supporting this decision analyzes multiple internal data sources, including recent performance reports, historical resource utilization data, project progress metrics, and forward-looking indicators derived from organizational planning systems. The organization routinely uses these data to support strategic decision-making.*

Before presenting the GenAI recommendation, participants were shown a summary of the organizational data analyzed by the GenAI system. The summary included high-level indicators, including recent performance trends for Program X and Program Y, historical resource utilization patterns, and forward-looking projections derived from internal planning systems. The data were presented in an aggregated, dashboard-style format intended to reflect how senior managers typically encounter data in strategic decision contexts. Participants then received the following GenAI command:

*"Reallocate 20% of the resources from Program X to Program Y during the upcoming quarter."*

Participants were informed that they could proceed by following, partially following, or ignoring the GenAI recommendation.

### *A.2 Manipulation of GenAI Command Justifiability*

The recommended action was identical across experimental conditions. The manipulation focused solely on the explanation accompanying the GenAI command. The data summary presented to participants was similar across experimental conditions.

#### **High-Justifiability Condition**

*Analysis indicates that reallocating resources toward Program Y offers a favorable balance between anticipated impact and timing under current conditions. Program Y demonstrates strong alignment with emerging organizational priorities and is supported by recent indicators suggesting scalability and long-term value creation.*

*Maintaining the current allocation may reduce short-term disruption, but it is likely to limit the organization's ability to capitalize on these opportunities. The proposed reallocation balances continuity with strategic adaptability and can be justified based on expected organizational impact and associated trade-offs.*

*The explanation draws on available organizational data to support the command.*

### **Low-Justifiability Condition**

*Based on the analysis, reallocating 20% of resources from Program X to Program Y is recommended.*

#### *A.3 Manipulation Check Items*

Immediately following the decision task, participants responded to the following manipulation check items using a Likert-type scale (1 = strongly disagree, 7 = strongly agree):

1. *The GenAI command in this task was well-justified.*
2. *The explanation provided by the GenAI was convincing.*
3. *The GenAI command lacked sufficient justification.* (reverse-coded)

These items were used solely to confirm the effectiveness of the experimental manipulation and were not included in the main hypothesis-testing models.

### **Appendix B: Complete List of Items and Scales**

| <b>Construct Name</b>                  | <b>Items</b>                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|----------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Perceived Risk of Inaction</b>      | <ul style="list-style-type: none"><li>• If I ignore the GenAI command in this decision, I might later regret it.</li><li>• I feel that not following GenAI command could lead to undesirable outcomes.</li><li>• There is a high likelihood that disregarding the GenAI command will have negative consequences.</li><li>• I worry I might make a poor decision by not acting on the GenAI command.</li></ul>                                              |
| <b>GenAI Command Justifiability</b>    | <ul style="list-style-type: none"><li>• The GenAI command provides sufficient justification for acting on it.</li><li>• The reasoning behind the GenAI command would be defensible in a managerial discussion.</li><li>• The GenAI command offers clear grounds for explaining my decision to others.</li></ul>                                                                                                                                            |
| <b>GenAI Tool Quality</b>              | <ul style="list-style-type: none"><li>• The GenAI tool provides accurate information.</li><li>• The GenAI tool is reliable for everyday use.</li><li>• The GenAI tool is easy to use and understand.</li><li>• The performance of the GenAI tool is consistent over time.</li><li>• I am satisfied with the speed of the GenAI tool's response.</li></ul>                                                                                                  |
| <b>Data Quality</b>                    | <ul style="list-style-type: none"><li>• The data used by the system is free of errors.</li><li>• The data includes all the necessary information required for my tasks.</li><li>• The data is consistent across different sources and formats.</li><li>• The data is up-to-date and available when needed.</li><li>• The data is relevant and applicable to the current needs.</li><li>• The data conforms to the required format and standards.</li></ul> |
| <b>Task Complexity</b>                 | <ul style="list-style-type: none"><li>• I found this to be a complex task.</li><li>• This task was mentally demanding.</li><li>• This task required a lot of thought and problem-solving.</li><li>• I found this to be a challenging task.</li></ul>                                                                                                                                                                                                       |
| <b>User Competency with GenAI Tool</b> | <ul style="list-style-type: none"><li>• I am familiar with some of the underlying principles of artificial intelligence.</li><li>• I feel confident interpreting commands generated by GenAI systems.</li><li>• I am comfortable evaluating the reasoning behind GenAI commands.</li><li>• I can assess when a GenAI command should or should not be followed.</li></ul>                                                                                   |

## Appendix C: Factor Loadings

|                                                   | Items      | PRI         | GAICJ       | AITQ        | TC          | DQ          | UCAI        |
|---------------------------------------------------|------------|-------------|-------------|-------------|-------------|-------------|-------------|
| <b>Perceived Risk of Inaction (PRI)</b>           | pri_item1  | <b>0.87</b> | -0.17       | -0.15       | -0.04       | -0.09       | -0.07       |
|                                                   | pri_item2  | <b>0.92</b> | -0.06       | -0.03       | -0.09       | -0.04       | -0.15       |
|                                                   | pri_item3  | <b>0.86</b> | -0.26       | -0.18       | -0.19       | -0.02       | -0.02       |
|                                                   | pri_item4  | <b>0.87</b> | -0.14       | -0.19       | -0.13       | 0.07        | 0.21        |
| <b>GenAI command Justifiability (GAICJ)</b>       | arj_item1  | 0.15        | <b>0.94</b> | -0.09       | -0.11       | 0.18        | 0.03        |
|                                                   | arj_item2  | 0.11        | <b>0.89</b> | -0.08       | -0.12       | 0.17        | 0.07        |
|                                                   | arj_item3  | 0.1         | <b>0.84</b> | -0.22       | -0.1        | 0.13        | 0           |
| <b>GenAI Tool Quality (AITQ)</b>                  | aitq_item1 | -0.14       | 0.15        | <b>0.88</b> | -0.2        | 0.17        | 0.16        |
|                                                   | aitq_item2 | -0.18       | 0.11        | <b>0.86</b> | -0.08       | 0.16        | 0.17        |
|                                                   | aitq_item3 | -0.08       | 0.06        | <b>0.91</b> | -0.1        | 0.28        | 0.16        |
|                                                   | aitq_item4 | -0.25       | 0.14        | <b>0.84</b> | -0.13       | 0.23        | 0.12        |
|                                                   | aitq_item5 | -0.08       | -0.12       | <b>0.88</b> | -0.15       | 0.25        | -0.01       |
| <b>Task Complexity (TC)</b>                       | tc_item1   | -0.16       | -0.2        | -0.2        | <b>0.91</b> | -0.03       | -0.1        |
|                                                   | tc_item2   | -0.07       | -0.05       | -0.23       | <b>0.9</b>  | 0           | -0.09       |
|                                                   | tc_item3   | -0.15       | -0.16       | -0.06       | <b>0.86</b> | -0.19       | -0.04       |
|                                                   | tc_item4   | 0.23        | 0.23        | -0.19       | <b>0.75</b> | 0.23        | 0.03        |
| <b>Data Quality (DQ)</b>                          | dq_item1   | 0.25        | 0.14        | -0.06       | -0.14       | <b>0.92</b> | 0.13        |
|                                                   | dq_item2   | 0.07        | 0.23        | -0.2        | -0.23       | <b>0.84</b> | -0.1        |
|                                                   | dq_item3   | 0.04        | 0.07        | -0.09       | -0.32       | <b>0.84</b> | 0           |
|                                                   | dq_item4   | 0.18        | 0.18        | -0.17       | -0.32       | <b>0.84</b> | -0.03       |
|                                                   | dq_item5   | 0.21        | 0.12        | -0.13       | -0.14       | <b>0.92</b> | -0.01       |
|                                                   | dq_item6   | 0.3         | 0.08        | -0.07       | -0.16       | <b>0.82</b> | -0.11       |
| <b>User Competency with the GenAI Tool (UCAI)</b> | uc_item1   | 0.14        | 0.14        | -0.04       | -0.21       | 0.09        | <b>0.84</b> |
|                                                   | uc_item2   | 0.18        | 0.14        | -0.07       | -0.34       | -0.04       | <b>0.87</b> |
|                                                   | uc_item3   | 0.21        | 0.12        | 0.03        | -0.16       | 0.05        | <b>0.97</b> |
|                                                   | uc_item4   | 0.14        | 0.16        | -0.02       | -0.14       | 0.09        | <b>0.92</b> |